

that produced very similar results in the end. Outright manipulation of prices disappeared, but there were many other methods of drawing the gullible public's attention to the profit possibilities in "hot" issues. Blocks of "letter stock"³ could be bought well below the quoted market price, subject to undisclosed restrictions on their sale; they could immediately be carried in the reports at their full market value, showing a lovely and illusory profit. And so on. It is amazing how, in a completely different atmosphere of regulation and prohibitions, Wall Street was able to duplicate so much of the excesses and errors of the 1920s.

No doubt there will be new regulations and new prohibitions. The specific abuses of the late 1960s will be fairly adequately banned from Wall Street. But it is probably too much to expect that the urge to speculate will ever disappear, or that the exploitation of that urge can ever be abolished. It is part of the armament of the intelligent investor to know about these "Extraordinary Popular Delusions,"⁴ and to keep as far away from them as possible.

The picture of most of the performance funds is a poor one if we start *after* their spectacular record in 1967. With the 1967 figures included, their overall showing is not at all disastrous. On that basis one of "The Money Managers" operators did quite a bit better than the S & P composite index, three did distinctly worse, and six did about the same. Let us take as a check another group of performance funds—the ten that made the best showing in 1967, with gains ranging from 84% up to 301% in that single year. Of these, four gave a better overall four-year performance than the S & P index, if the 1967 gains are included; and two excelled the index in 1968–1970. None of these funds was large, and the average size was about \$60 million. Thus, there is a strong indication that smaller size is a necessary factor for obtaining continued outstanding results.

The foregoing account contains the implicit conclusion that there may be special risks involved in looking for superior performance by investment-fund managers. All financial experience up to now indicates that large funds, soundly managed, can produce at best only slightly better than average results over the years. If they are unsoundly managed they can produce spectacular, but largely illusory, profits for a while, followed inevitably by calamitous losses. There have been instances of funds that have consistently outperformed the market averages for, say, ten years or more. But these have been scarce exceptions, having most of their